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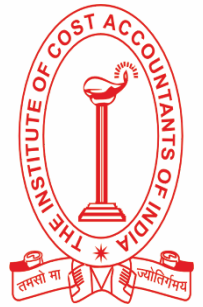
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Transfer Pricing Provisions under the Income-tax Act, 2025 – An Overview

Behind every successful business decision, there is always a **CMA**



Introduction to Transfer Pricing



What is Transfer Pricing?

Transfer pricing refers to the pricing of transactions between related entities of the same multinational enterprise. These transactions may include goods, services, loans, or intellectual property. Since both parties are under common control, prices may not be set by market forces. Therefore, rules are required to ensure prices are fair and reflect real economic value.

Why it matters in global taxation?

Multinational companies operate across countries with different tax rates. This creates opportunities to shift profits to low-tax jurisdictions. Transfer pricing rules help determine how much profit should be taxed in each country. It ensures that taxation rights are fairly distributed among nations.

Role in preventing profit shifting?

Without transfer pricing regulations, companies can manipulate prices to shift profits artificially. This reduces tax liability in high-tax countries and erodes their tax base. The Arm's Length Principle ensures transactions are priced as if between unrelated parties. Thus, transfer pricing acts as a key tool to prevent tax avoidance and protect government revenues.

Transfer Pricing determines where profits are taxed in a global economy.

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Understand with Example

What happens without regulation:

A company deliberately shifts profits to a country where taxes are very low.

Example:

An Indian company sells goods to its subsidiary in a tax haven (Country with zero tax):

Real market price = ₹1,000

Charged price = ₹600

Profit moves out of India → lower tax paid in India

Why regulation is needed: To force pricing at arm's length (₹1,000) and protect tax revenue.

Protect Government Tax Revenue

Core idea: If companies manipulate prices, governments lose massive tax collections.

Example:

True profit in India = ₹10 crore

Manipulated profit shown = ₹4 crore

Tax is paid only on ₹4 crore

Result:

Huge revenue loss for the country.

Regulations ensure: Profits are correctly reported where economic activity actually happens.



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Evolution of Transfer Pricing Laws in India



Pre-2001 Era – The Silent Phase

Before 2001, the **Income-tax Act, 1961** did not contain specific provisions for transfer pricing. India's economy was relatively closed, with limited cross-border transactions by multinational enterprises. Tax authorities relied only on general anti-avoidance rules to address profit shifting. As a result, there was no structured mechanism to regulate pricing between related entities.

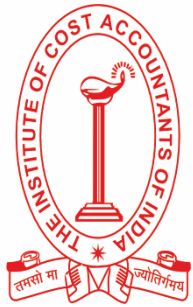
2001 – Birth of Transfer Pricing in India

The year 2001 marked the formal introduction of transfer pricing regulations in India through **Chapter X (Sections 92–92F)** of the Income-tax Act, 1961. It introduced the **Arm's Length Principle (ALP)**, requiring transactions between related parties to be priced as if they were independent. To enforce these provisions, the role of the **Transfer Pricing Officer (TPO)** was established. This aligned India's tax framework with international standards and strengthened control over profit shifting.

This phase is called the 'silent phase' because transfer pricing existed in practice—but not in law.

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2001-2012 – Expansion Phase

During this period, India significantly strengthened its transfer pricing framework by introducing detailed compliance requirements. Taxpayers were required to maintain **extensive documentation** to justify that their transactions met the arm's length standard.

Mandatory **transfer pricing audits through Form 3CEB** increased transparency and scrutiny of international transactions. Additionally, the **Dispute Resolution Panel (DRP)** was established to provide a faster mechanism for resolving TP disputes.

“This phase strengthened the system—but also triggered a wave of litigation.”

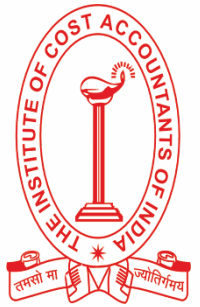
Litigation Challenge in Transfer Pricing

- India remains a **high transfer pricing (TP) dispute jurisdiction**, with a significant volume of ongoing litigation
- Tax authorities often adopt an **aggressive stance**, leading to substantial TP adjustments
- This results in an **increased compliance burden** for taxpayers, both in terms of documentation and litigation costs

The growing intensity of disputes highlights a clear and urgent need for reform in the TP framework

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2012-2020: Maturity Phase in Transfer Pricing

- **Introduction of Advance Pricing Agreements (APA):**

Enabled taxpayers to agree in advance with tax authorities on transfer pricing methodologies, significantly reducing future disputes and providing long-term certainty

- **Safe Harbour Rules:**

Prescribed acceptable margins for specified categories of transactions, allowing eligible taxpayers to avoid detailed scrutiny and minimize litigation exposure

- **Specified Domestic Transactions (SDTs):**

Expanded transfer pricing provisions to certain domestic related-party transactions, aiming to curb profit shifting within India and ensure fair tax base allocation

From a litigation-heavy and enforcement-driven regime to one focused on **certainty, predictability, and dispute prevention**

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2020–2024: Global Alignment Phase in Transfer Pricing

•Adoption of BEPS Framework:

Alignment with the **Base Erosion and Profit Shifting (BEPS)** initiative led by the OECD, aimed at curbing tax avoidance and ensuring profits are taxed where economic activities actually occur

•Country-by-Country Reporting (CbCR):

Introduction of detailed reporting requirements for large multinational groups, providing tax authorities with a **global** snapshot of income, taxes paid, and business activities across jurisdictions

•Master File & Local File Documentation:

Standardized three-tier documentation framework requiring:

- **Master File:** Overview of global business operations, value chain, and TP policies
- **Local File:** Detailed analysis of specific transactions within India, ensuring transparency and consistency

Overall shift in approach:

Towards **greater transparency, global consistency, and alignment with international best practices**

Transparency + global compliance

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Pre-ITA 2025 Reforms in Transfer Pricing

•Multi-year TP Assessments:

Introduction of a framework allowing transfer pricing assessments to **cover multiple years**, reducing the need for repeated evaluations of similar transactions

•ALP Validity for Multiple Years:

Determination of **Arm's Length Price (ALP)** made applicable across more than one financial year, ensuring consistency in pricing and minimizing annual disputes

•Expanded Safe Harbour Rules:

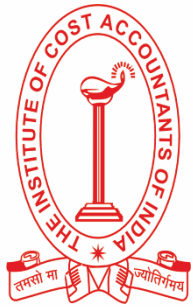
Broadening of eligibility and scope of safe harbour provisions to **cover more transactions and taxpayers**, thereby simplifying compliance and reducing scrutiny

Core Objective:

To **minimize repetitive litigation**, enhance efficiency, and provide greater certainty in transfer pricing assessments

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Transfer Pricing Architecture and Policy Objective

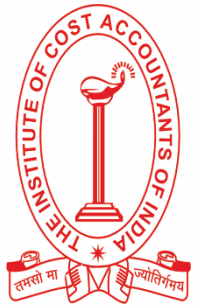
Where the TP provisions sit

The transfer pricing code in the IT Act 2025 is housed in **Chapter X – Special Provisions Relating to Avoidance of Tax** and comprises, broadly:

- **Section 161** – Computation of income from international transactions and specified domestic transactions (SDTs) with reference to arm's length price (ALP).
- **Section 162** – Meaning of “associated enterprise” (AE).
- **Section 163** – Meaning of “international transaction”.
- **Section 164** – Meaning of “specified domestic transaction” (SDT).
- **Section 165** – Determination of ALP and recognised methods.
- **Section 166** – Reference to the Transfer Pricing Officer (TPO) and multi-year ALP option.
- **Section 171** – Maintenance/furnishing of TP information and documents; primary and secondary adjustments.
- **Section 172** – Report from an accountant (annual TP audit report).
- **Section 173** – Definitions: arm's length price, enterprise, permanent establishment.

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The **Rules 2026**, particularly **Rules 77–85 and 104–111**, implement these provisions:

- **Rules 77–81:** definitions; methods; “most appropriate method” (MAM); arm’s-length range and median rules.
- **Rule 84:** information and documents to be kept and maintained; secondary adjustment mechanics.
- **Rule 85:** report from an accountant (Form 48).
- **Rules 104–111:** Advance Pricing Agreement (APA) framework (Form 51), etc.

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Policy objective and continuity with old law

The policy objective of transfer pricing under the Income-tax Act, 2025 remains prevention of tax base erosion through arm's length regulation of related party transactions, while maintaining broad continuity with the 1961 law and introducing procedural reforms aimed at simplification, certainty, and reduced litigation.

The 2025 regime **substantively continues** the TP framework from Chapter X of the 1961 Act (sections 92-92F, 92CA, 92CC, 92CD, 92CE, 92D, 92E), but in re-numbered and streamlined form.

The 2025 Act focuses more on **modernisation than replacement**:

- provisions are **reorganized and redrafted in clearer language**;
- structure is simplified for easier interpretation;
- administrative processes are being refined for efficiency;
- introduction of **multi-year / block transfer pricing assessment concepts** reduces repetitive examination of identical transactions year after year

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Scope of Applicability & Important Definitions

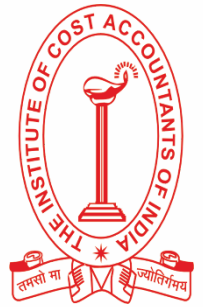
International transactions: Section 163

An “**international transaction**” is a transaction between two or more associated enterprises, where at least one is a non-resident, and includes very broad categories:

1. **Tangible property** – purchase, sale, transfer, lease or use of goods, property, plant, equipment, real estate.
2. **Intangible property** – extensive list including trademarks, brands, patents, know-how, customer lists, software, industrial designs, contractual rights, human-capital and location-related intangibles, goodwill, methods, technical data, and any item with intellectual content/value.
3. **Capital financing** – lending/borrowing (short- and long-term), guarantees, purchase/sale of marketable securities, advances, deferred payments and **receivables**.
4. **Services** – technical, managerial, legal, accounting, IT, market research, and any other intra-group services.
5. **Business restructuring or reorganisation** between AEs.
6. **Cost allocation / cost contribution arrangements**.
7. **Any other transaction affecting profits, income, losses or assets** of the enterprise.

Deemed international transactions: A transaction with a non-AE can be deemed an international transaction if an AE has a prior agreement about it or determines its terms in substance.

Continuity with old law: This definition closely tracks section 92B and its wide Explanation introduced in 2012, including issues such as receivables and guarantees; existing case law under section 92B (Vodafone India Services, Cotton Naturals, Everest Kanto, etc.) will remain instructive.



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Specified Domestic Transactions (SDTs): Section 164

SDTs extend TP rules to select **domestic related-party situations** where profit-shifting within India can erode or arbitrage the tax base:

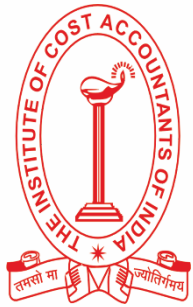
- Transactions mentioned in:
 - Section 122 (related undertakings).
 - Transfers under section 140(9).
 - Business between related persons under section 140(13).
 - Transactions under Chapter VIII or section 144 to which section 140(9)/(13) or section analogous to 80-IA(8)/(10) applies.
 - Business between persons in section 205(4).
 - Any other prescribed transactions.

Threshold: TP applies only if the **aggregate of SDTs exceeds ₹20 crore** in a tax year.

Continuity: This is conceptually identical to section 92BA (as amended) - introduced after the Supreme Court's GlaxoSmithKline Asia order where the Court suggested domestic transfer pricing for SEZ/80-IA type arbitrage

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“Associated Enterprises” (AEs): Section 162 and Rule 77

The **AE definition** is crucial, because TP applies only if parties are AEs.

Section 162 sets out multiple, alternative connection tests, similar to old section 92A:

- **Ownership/voting power:**
 - Enterprise A directly/indirectly holds **≥26%** of voting power in B; or
 - A third person holds **≥26%** in both A and B.
- **Financial dependence:**
 - Loan from A to B constitutes **≥51%** of the book value of total assets of B; or
 - Guarantees from A cover **≥10%** of total borrowings of B.
- **Control over management/board:**
 - A appoints **majority of directors** of B;
 - A controls key managerial personnel or governing body.

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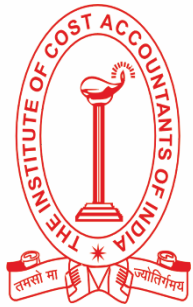
- **Economic dependence / supply chain:**
 - 90%+ of raw materials/components purchased by B from A, and A decides price or conditions; or
 - Substantial sales of A's products routed through B, with B influencing price.
- **Intangibles dependence:**
 - B's business is wholly dependent on know-how, patents, trademarks or other IP owned by A.
- **Common control:** persons (individual/HUF/firm) who **control both enterprises** or have significant profit-sharing interest (e.g. $\geq 10\%$) in entities like firms/AOPs.
- **Residual – “mutual interest”** as may be prescribed.

For **SDTs**, section 162(2) further pulls in entities/units referenced in incentive provisions (sections 122, 140, 205(4), etc.) so that TP covers domestic arbitrage between those and other related units.

Rule 77 simply confirms that *for purposes of Rules 77-84*, “associated enterprise” has the meaning in section 162.

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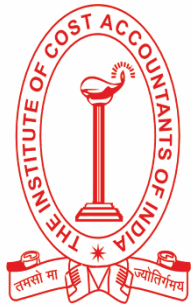
Core charging rule – Section 161

Section 161 is the **gateway**:

- Income from any international transaction or SDT shall be computed **having regard to ALP**.
- Allowance for any expense or interest from such transaction shall also be determined having regard to ALP.
- Cost allocation / cost contribution arrangements among two or more AEs must reflect ALP (i.e., cost contribution agreements need TP analysis).
- **Carve-out:** If applying ALP would *reduce* taxable income or *increase* loss vis-à-vis the books, Chapter X does **not** apply for that year (same as old section 92(3)).

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Transfer Pricing Methods

Lists the prescribed methods:

- (a) Comparable Uncontrolled Price (CUP)
- (b) Resale Price Method (RPM)
- (c) Cost Plus Method (CPM)
- (d) Profit Split Method (PSM)
- (e) Transactional Net Margin Method (TNMM)
- (f) any other method as may be prescribed by the Board (the “Other Method”).

Section 165(2): ALP must be determined by the **“most appropriate method”** having regard to the nature/class of transaction, class of associated enterprise(s), functions performed, and other prescribed factors; and applied in the manner prescribed.

Section 165(3): mechanics where one price or multiple prices arise, and tolerance band up to 3% to be notified (similar to old section 92C(2)).

Sections 165(4)–(8): AO/TPO powers, show-cause, computation and bar on double taxation when tax has been deducted under Chapter XIX-B.

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Rules: definitions, methods and methodology : The relevant Rules 2026 are:

- **Rule 77 – Definitions** (“associated enterprise”, “uncontrolled transaction”, “property”, “services”, “transaction” including closely-linked transactions).
- **Rule 78 – Other method** (for section 165(1)(f)).
- **Rule 79 – Determination of ALP under section 165** – sets out detailed steps for:
 - CUP, RPM, CPM, PSM, TNMM
 - and refers back to the “other method”.
- **Rule 80 – Most appropriate method** – defines and lists selection factors (essentially mirroring older rule 10C).
- **Rule 81 – Multiple prices / range and median** – mechanics when application of the most appropriate method yields more than one price (dataset, 35th–65th percentiles, median, etc.).
- **Rule 84 – Documentation under section 171(1)(a)** – contemporaneous TP documentation requirements.

The structure and language of Rules 79–81 are very close to old Rules 10B and 10CA. Commentary under the 1961 Act (e.g. Sampath Iyengar, ICAI GN) is therefore useful for practical application, but you must map to the new section / rule numbers. (*old law – persuasive only*)

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. “Most Appropriate Method” and comparability – Rule 80 / Rule 79(2)

Before diving into each method, two cross-cutting concepts:

“Most appropriate method” – Rule 80

Rule 80(1) defines the most appropriate method (MAM) as the method which, having regard to the nature of the transaction or class of transaction or class of associated enterprise or functions performed by such enterprises or other relevant factors, **is best suited to the facts and provides the most reliable measure of ALP.**

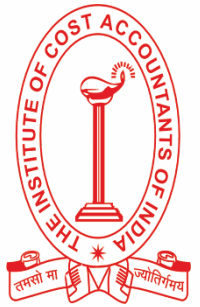
Rule 80(2) lists the selection factors (essentially the classic **Rule 10C(2)** factors under old law):

- Nature and class of the transaction.
- Class(es) of associated enterprises and **functions performed, assets employed and risks assumed (FAR).**
- Availability, coverage and reliability of data for applying the method.
- Degree of comparability between controlled and uncontrolled transactions and enterprises.
- Ability to make reasonably accurate adjustments for differences.
- Nature, extent and reliability of assumptions.

Courts and tribunals have consistently stressed that method selection is fact-sensitive and must be reasoned; “convenient” methods cannot replace the prescribed ones. (*old law – persuasive*)

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Transfer Pricing Methods : Explained in detail

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Comparable Uncontrolled Price (CUP) Method

Legal basis

- Section 165(1)(a).
- Rule 79(2)(a): CUP method description and steps.
- CUP remains conceptually identical to old Rule 10B(1)(a). (*old law – persuasive*)

Definition and core principle

Under CUP, ALP is the **price charged or paid** for property or services in a **comparable uncontrolled transaction** (internal or external), adjusted for material differences between the controlled and uncontrolled situations.

It is the most **direct price-based** method and, where reliable comparables exist, is generally preferred over profit-based methods (OECD / UN guidance and Indian commentary).

Step-by-step application with simple example

Assume:

- Tested transaction: Indian Co sells 10,000 units of Product A to AE at ₹95 per unit.
- Internal comparable: same Indian Co sells Product A to an unrelated customer at ₹100 per unit, 60-day credit.
- Controlled transaction gives 90-day credit; 30-day extra credit has a financing cost of 8% p.a.

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Step 1 – Identify comparable uncontrolled transaction

Internal comparable sale to third party at ₹100/unit.

Step 2 – Evaluate comparability

Same product, same geography, similar volume, only difference is credit terms.

Step 3 – Quantify adjustment

- Extra credit = 30 days $\approx 30/365 = 0.0822$ of a year.
- Cost of financing = $8\% \times 0.0822 \approx 0.6576\%$ of sales value.
- Adjustment = 0.6576% of ₹100 $\approx ₹0.66$.

Adjusted CUP price = ₹100 – ₹0.66 $\approx ₹99.34$ per unit.

Step 4 – Determine ALP

If this is the only reliable comparable, ALP = ₹99.34 per unit.

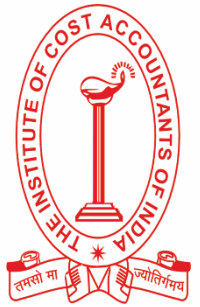
Total ALP consideration for 10,000 units = ₹9,93,400.

Actual AE price = ₹9,50,000.

Difference = ₹43,400 (4.4%). If notified tolerance is, say, 3%, the adjustment would be required; if the tolerance is higher, actual price may be accepted under section 165(3).

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When is CUP most appropriate?

Commodities (oil, metals, grains) with **quoted prices**.

Financial transactions: inter-company **loans, guarantees** (comparing interest/fees to market rates).

Intra-group purchase/sale of standardised goods where the taxpayer also deals with third parties (internal CUP).

Certain service fees (e.g., contractually comparable brokerage / advisory fees).

Tribunals often insist CUP is superior only where reliable, high-quality data exists and **material differences can be reasonably adjusted**; otherwise TNMM or other methods may be preferred. *(old law – persuasive)*

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Key documentation and pitfalls in CUP Method

Documentation (Rule 84):

- Detailed product specifications.
- Contracts / POs with AEs and third parties.
- Price lists, quotations, published commodity prices.
- Credit terms, delivery terms, volume, geography, currency.
- Working papers for adjustments (time value, quality, location, etc.)

Common pitfalls (from case law and practice under old law):

- Treating **AE-to-AE price** as CUP (must be uncontrolled).
- Ignoring significant differences in contractual or economic terms (e.g., warranty, after-sales support, bundled intangibles).
- Using indicative offers or budget prices without evidence they were actually available to independent parties.
- Incomplete or ad-hoc adjustments without quantitative basis

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Resale Price Method (RPM)

Legal basis

- Section 165(1)(b).
- Rule 79(2)(b): RPM description (resale price less normal gross margin and direct costs, with adjustments).

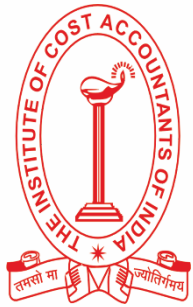
Definition and core principle

RPM starts from the **price at which a product purchased from an AE is resold to an unrelated customer**, and reduces it by:

- The **normal gross profit margin** earned by independent distributors of similar goods; and
- Direct and indirect costs associated with the purchase and resale.
- The resulting amount is the **arm's length purchase price** from the AE.

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Step-by-step with example

Assume:

- Indian Co imports finished goods from its AE and resells them **without significant value addition**.
- Resale price to third party = ₹1,000 per unit.
- Independent distributors of similar products (comparables) earn a gross margin of **20% of sales** (i.e., cost of goods is 80% of sales).
- Direct selling expenses (freight, local handling etc.) incurred by Indian Co on this resale = ₹50 per unit.

Step 1 – Resale price

₹1,000 per unit.

Step 2 – Deduct normal gross profit margin

Normal gross profit = 20% of ₹1,000 = ₹200.

Step 3 – Deduct direct expenses associated with purchase / resale

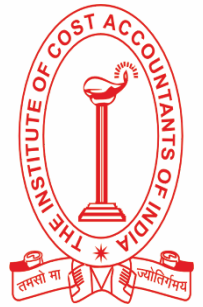
Direct expenses = ₹50.

Deemed arm's length purchase price from AE = $1,000 - 200 - 50 = ₹750$.

If actual purchase price from AE = ₹700, AE is under-charged (Indian Co too profitable); ALP adjustment could increase the import price to ₹750, reducing Indian taxable profits (but Section 161(4) / 92(3)-type limitation may bar downward adjustment if it reduces taxable income).

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When is RPM most appropriate?

- **Pure distributors / limited-risk distributors** buying finished goods from AEs and reselling without significant processing or value addition.
- Marketing and distribution of branded finished products where the distributor does not own significant intangibles.
- Often used in trading segments; tribunals have stressed **RPM** should be preferred to **TNMM** where statutory conditions fit.

Documentation and pitfalls

Documentation:

- Resale invoices to third parties.
- Segment-wise accounts to compute **gross margin**.
- Comparable distributors' financials to derive benchmark gross margins.
- Evidence that goods are not materially altered between purchase and resale.

Pitfalls:

- Using enterprise-level or mixed-activity margins as comparables instead of pure distributors.
- Treating full-fledged manufacturers or **IP-owners** as comparables.
- Adjusting individual operating expenses again under **RPM** – once you use a gross margin, you should not re-open detailed expense allocations except for clearly non-comparable items.

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Cost Plus Method (CPM)

Legal basis

- Section 165(1)(c).
- Rule 79(2)(c): CPM steps (determine direct & indirect costs, add normal gross profit mark-up, adjust for differences).

Definition and core principle

CPM starts from the **costs incurred** by the supplier of property or services to its AE and adds an appropriate **gross profit mark-up**, derived from comparable uncontrolled suppliers performing similar functions and bearing similar risks. It is typically used for **contract manufacturing** or **low-risk service providers**.

Example :Assume:

- Indian Co is a contract manufacturer for its AE. Direct + indirect production costs for a batch = ₹800 per unit.
- Independent contract manufacturers earn gross mark-ups of **25% on costs**.

Step 1 - Determine cost base

Total costs = ₹800 per unit.

Step 2 - Determine comparable mark-up

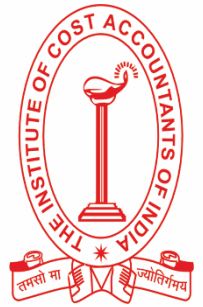
25% of cost.

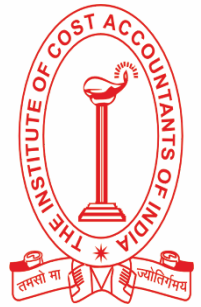
Step 3 - Compute arm's length price

$ALP = 800 \times (1 + 25\%) = ₹1,000$ per unit.

If AE actually pays ₹900 per unit, there is a shortfall of ₹100 per unit.

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When is CPM most appropriate?

- Contract manufacturers / toll manufacturers where functions and risks are limited and well understood.
- Intra-group provision of **services** where a cost-plus mark-up is standard (BPO, routine IT services, captive centers), although in practice TNMM is more commonly used at net margin level.
- Where reliable information on **gross mark-ups** of independent comparable suppliers is available.

Documentation and pitfalls

Documentation:

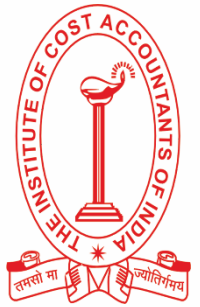
- Detailed cost sheets (direct materials, labour, overheads) by product / service line.
- Policies for cost allocation (overheads, shared costs).
- Financials of comparable manufacturers or service providers.

Pitfalls:

- Mis-classification of costs (capital vs revenue, operating vs non-operating).
- Inconsistent or opaque cost-allocation keys.
- Using enterprise-level margins where non-comparable activities are mixed.
- Not adjusting for significant differences in capacity utilisation, risk profile, or functions (e.g., R&D, warranty obligations). (*old law - persuasive*)

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Profit Split Method (PSM)

Legal basis

- Section 165(1)(d).
- Rule 79(2)(d): provides for **contribution analysis** and **residual profit split** approaches, combined net profit and apportionment based on contributions.

Definition and core principle

PSM allocates the combined profits (or losses) from a set of controlled transactions between AEs based on the relative contributions of each enterprise (functions performed, assets used, risks assumed).

It is particularly relevant where:

- Transactions are highly **integrated** and
- Both parties make **unique and valuable contributions**, especially around intangibles.
- This mirrors OECD/UN guidance on PSM.

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Simplified example – residual profit split

Assume:

- AE-Group: Parent (foreign) develops unique IP; Subsidiary (India) performs significant development and marketing.
- Combined operating profit from global exploitation of the IP in a defined business line = ₹1,000 crores.
- Routine returns (based on TNMM benchmarks) for:
 - Parent's routine distribution functions: ₹150 crores.
 - India's routine contract-R&D and marketing support: ₹100 crores.

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Step 1 – Determine combined profit from the controlled transactions

Given as ₹1,000 crores (after eliminating unrelated items).

Step 2 – Allocate routine profits

Routine to Parent: ₹150 crores.

Routine to India: ₹100 crores.

Total routine = ₹250 crores.

Step 3 – Compute residual profit attributable to unique intangibles / non-routine functions

Residual = $1,000 - 250 = ₹750$ crores.

Step 4 – Allocate residual based on contribution factors

For illustration, assume analysis of R&D spend, DEMPE functions, people functions, etc., suggests:

- Parent contributes 60%
- India contributes 40%

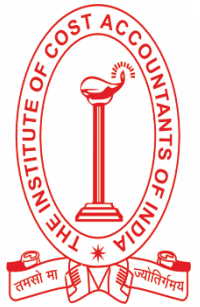
Residual allocation:

- Parent: $0.60 \times 750 = ₹450$ crores.
- India: $0.40 \times 750 = ₹300$ crores.

Total profit allocated:

- Parent: $150 + 450 = ₹600$ crores.
- India: $100 + 300 = ₹400$ crores.

The portion allocated to India (₹400 crores) is then compared with profits actually reported by India from the relevant controlled transactions; any shortfall may trigger an upward adjustment.



When is PSM most appropriate?

- Complex **global value chains** where both parties own / develop significant intangibles (IP co-development, joint platforms).
- Multi-year, highly integrated arrangements where it is hard to benchmark each party separately.
- Situations with **unique intangibles** and lack of reliable external comparables (as emphasized by CBDT Circular on PSM under old law). (*old law - persuasive*)

6.5. Documentation and pitfalls

Documentation:

- Detailed functional analysis identifying **DEMPE** of intangibles (Development, Enhancement, Maintenance, Protection, Exploitation).
- Inter-company agreements; ownership records for IP / brands. Global financials for the relevant combined business, with reliable segmentation. Basis for selecting contribution keys (e.g., R&D spend, headcount, capital employed, time spent).

Pitfalls:

- Using PSM to **reverse-engineer** desired profit allocations without robust, objective contribution factors.
- Ignoring routine returns (jumping straight to splitting total profits). Not reconciling PSM allocations with **local statutory accounts**. Insufficient documentation – PSM is data- and analysis-heavy; weak documentation invites challenges.

CBDT (under old law) indicated that PSM should be applied where appropriate and that TPOs must record reasons if PSM is rejected in favour of TNMM in intangibles-heavy cases.

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Transactional Net Margin Method (TNMM)

Legal basis

- Section 165(1)(e).
- Rule 79(2)(e): TNMM description (net profit margin relative to a base such as costs, sales, assets, etc.).

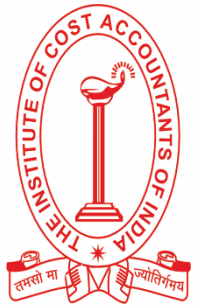
Definition and core principle

TNMM compares the **net profit margin** relative to an appropriate base (e.g. costs, sales, assets) that a taxpayer earns from a controlled transaction (or aggregated set of transactions) with the net margins earned by independent comparables undertaking similar activities.

TNMM is more tolerant of product differences than CUP/RPM/CPM but requires careful **FAR analysis** and **selection of profit level indicator (PLI)**.

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Simple example

Assume:

- Indian captive IT services provider to AE.
- Operating revenue from AE = ₹100 crores.
- Operating costs = ₹90 crores (excluding forex, interest, extraordinary items).
- Operating profit (OP) = ₹10 crores. PLI chosen: $OP / \text{Operating Cost} = 11.11\%$.
- Comparable independent IT service providers' margins (OP/OC) after appropriate filters and adjustments:
 - Co A: 10% , Co B: 12%. Co C: 14%

Dataset margins: 10%, 12%, 14%.

With ≥ 3 comparables but < 6 , ALP is the arithmetic mean (unless and until Rules change that threshold). Under Rules 2026, Rule 81 uses a **range** when dataset has at least 6 entries; otherwise arithmetic mean applies.

Arithmetic mean = $(10 + 12 + 14)/3 = 12\%$.

Arm's length operating profit = 12% of ₹90 crores = ₹10.8 crores.

Difference = ₹10.8 - ₹10 = ₹0.8 crores (0.89% of costs).

If Central Government notifies tolerance up to 3%, the actual margin (11.11%) being within 3% of ALP margin (12%) could be accepted without adjustment per section 165(3).

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When is TNMM most appropriate?

- High volume, routine **service providers** (IT/ITES, BPO, KPO – with care on functional comparability).
- Contract manufacturers when gross-margin data is poor but net-margin data is widely available.
- Distribution scenarios where **RPM** is difficult to apply due to lack of gross-margin comparables or mixed activities.
- Where internal comparables exist at enterprise/segment level and can be reliably separated.
- Courts and tribunals recognise **TNMM** as the **most widely used** method in India but stress that method selection must still be based on Rule 80 factors and not on convenience alone. (*old law – persuasive*)

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Documentation and pitfalls

Documentation:

- Segmental accounts isolating the controlled transactions (or clearly explaining aggregation).
- Selection of tested party and **PLI** with justification.
- Detailed search strategy for comparables: databases used, filters (turnover, **RPT**, export, employee cost, etc.).
- **FAR** analysis and rationale for including/excluding each comparable.
- Working capital, risk and other adjustments with quantitative support.

Pitfalls (from leading Indian case law):

- Treating all ITES providers as comparable regardless of functional profile (**BPO** vs **KPO**; voice vs analytics).
- Ignoring product/services differences or scale differences that materially affect margins.
- Using prior-year multi-year averages without satisfying the strict conditions for using earlier-year data (now mostly handled via Rule 81 and multiple-year rules).
- Failure to adjust for **working capital** or **risk differences** even when data is available, leading to skewed margins.

Treating TPO's selection or rejection of comparables as unchallengeable – Supreme Court in *SAP Labs* has clarified that High Courts can examine perverse application of rules

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. “Other Method” – Rule 78

Legal basis

- Section 165(1)(f).
- Rule 78: defines “other method” as **any method which takes into account the price charged or paid, or would have been charged or paid, for the same or similar uncontrolled transaction** between non-associated enterprises under similar circumstances, having regard to all relevant facts.

This is conceptually equivalent to old Rule 10AB under the 1961 Rules.

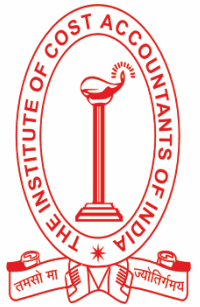
Use cases

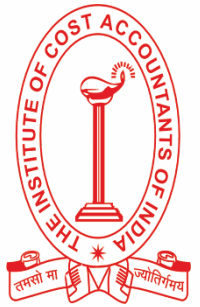
The “other method” offers flexibility to use well-accepted valuation / pricing approaches where the five enumerated methods are not adequate or appropriate, for example:

- Valuations of **shares / business** using DCF or market-comparable multiples (P/E, EV/EBITDA) where CUP/CPM/TNMM do not fit.
- Third-party **valuation reports** for intangibles or business transfers.
- Quotations, tender prices or competitive bids reflecting market outcomes.
- Option pricing or other specialised financial models for derivatives or complex instruments.

Key is to demonstrate that the chosen method **reflects what independent parties would have agreed** for similar transactions under similar conditions, and that assumptions are reasonable and well-documented.

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Documentation and pitfalls

- Obtain robust, independent valuation reports where possible.
- Document all assumptions: growth rates, discount rates, comparables, synergies, etc.
- Cross-check results against observable market indicators (where available).

Pitfalls include cherry-picking valuations, using overly optimistic projections, or ignoring transaction-specific risks.

Tribunals under old law have rejected ALP determinations where TPOs or taxpayers purported to use “other method” without actually following a recognised valuation approach or without connecting it back to uncontrolled pricing evidence. (*old law – persuasive*)

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Range concept, median and multiple prices – Rule 81

Where application of the most appropriate method yields **more than one price or margin**, Rule 81 provides the mechanism to arrive at a single ALP.

Construction of dataset

- Collect all prices / margins (**including weighted averages**) from comparables, arranged in ascending order (sub-rule (2)). For RPM/CPM/TNMM, special weighted averaging rules apply (weights based on sales or costs/assets depending on PLI – sub-rules (3)–(5)).

Range and median

- If dataset has **six or more** entries:
 - The arm's length **range** is between the **35th percentile and 65th percentile** of the dataset. If the price/margin of the tested transaction falls within this range, it is accepted. If it falls outside, the **median** (50th percentile) of the dataset is taken as ALP (sub-rules (6) and (8)).
- If dataset has fewer than six entries:
 - The **arithmetic mean** applies;
 - If the variation between actual price and arithmetic mean does not exceed the notified tolerance (not exceeding 3%), actual price may be accepted (sub-rule (7), read with section 165(3)).

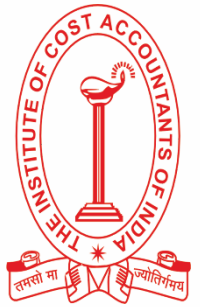


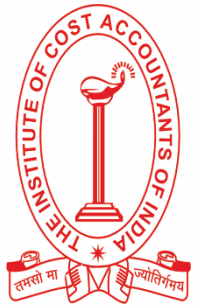
Practical selection considerations – matching methods to fact patterns

For day-to-day practice under IT 2025 / Rules 2026, a useful heuristic:

- **CUP** – first priority where high-quality internal or external comparable prices exist (commodities, loans, certain services).
- **RPM** – distributors / traders of finished goods; resale without significant transformation.
- **CPM** – contract manufacturing, semi-finished goods, or routine services with good gross-margin comparables.
- **TNMM** – routine services and manufacturing where only net margin data is robust; often the default where CUP/RPM/CPM are impracticable.
- **PSM** – complex multi-party, intangibles-heavy situations where separate benchmarking of each party is unreliable.
- **Other Method** – valuations and special cases (shares, business transfers, complex instruments) where the five main methods don't fit, but robust market-based valuation models are available.

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Compliance and documentation – Rule 84 and related provisions

Statutory obligations

- **Section 171(1)** – obligation to keep and maintain prescribed information and documents in respect of international and specified domestic transactions.
- **Rule 84** – enumerates required information and documents (closely aligned with old Rule 10D).
- **Section 172** – accountant’s report (equivalent of Form 3CEB) – Rule 85 (not reproduced here) prescribes the form.
- **Form 48 guidance (Notification March 2026)** – annual TP disclosure capturing transaction-wise data and **method-wise ALP determination**, including CUP, RPM, CPM, TNMM, PSM/Other.

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Key documentation items under Rule 84

Rule 84 requires (among others):

- Ownership and group structure, including **associated enterprises and relationship details**.
- Business profile of the assessee and AEs, including industry overview.
- Detailed **functional analysis** (functions, assets, risks).
- Description of each international / specified domestic transaction, quantum, terms and conditions.
- Economic and market analysis, comparability analysis, and selection of **most appropriate method**.
- Details of comparable uncontrolled transactions, adjustments made and ALP computation workings.
- Assumptions, policies, and details of any negotiations.
- Supporting documents such as:
 - Market research reports, price publications.
 - Agreements, correspondence, invoices.
 - Financial statements of AEs and comparables.

Threshold: documentation not required where aggregate value of international transactions is $\leq$ ₹1 crore (subject to any change in final rules).

Documents should be **contemporaneous** – generally to exist by the specified date in section 173(d), and preserved for nine years.

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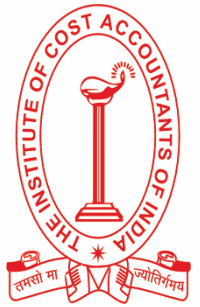
Common cross-method pitfalls

Across all methods, recurring issues observed in Indian litigation and audits include:

- **Failure to apply any prescribed method at all** – determinations based on ad hoc fairness tests or disallowing expense without method-based benchmarking are routinely struck down. (*old law – persuasive*)
- **Weak or missing FAR analysis** – selection of comparables or methods without systematically analysing functions, assets and risks.
- **Inconsistent aggregation / segmentation** – combining dissimilar transactions under TNMM, or failing to segregate manufacturing vs trading, routine vs non-routine functions.
- **Use of outdated or non-contemporaneous data** without justifying reliance on earlier years under rules governing multi-year data and Rule 81.
- **Ignoring range and tolerance provisions** – adjustments made even when the tested result clearly lies within the prescribed range, or not granting tolerance where statute permits.
- **Intra-group services** – setting ALP at nil purely on “benefit test” or profitability concerns, contrary to methodical benchmarking requirements; courts have cautioned against re-writing commercial arrangements absent sham / lack of services.
- **Lack of contemporaneous evidence** of services/benefits (emails, deliverables, reports), especially for management fees, royalties and cost allocations.
- **Procedural non-compliance** – not furnishing documents under section 171(2)/(3); such failures enable AO/TPO to reject the taxpayer’s analysis and determine ALP on available material under section 165(4).

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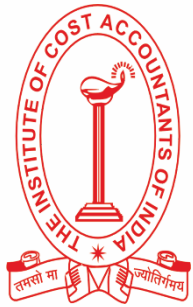


Transfer Pricing Compliance & Management

The Income Tax Act (ITA) 2025, effective **1 April 2026**, preserves the core transfer pricing (TP) framework of the 1961 Act while introducing a structural overhaul to reduce litigation and enhance certainty. Compliance management now revolves around new section numbering and a "block assessment" option.

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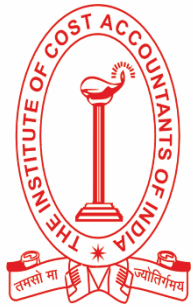


Key Compliance Changes in ITA 2025

- **Block TP Assessment Option:** Taxpayers can now opt for a **three-year assessment cycle** for "similar transactions".
 - If the Transfer Pricing Officer (TPO) determines the Arm's Length Price (ALP) for a base year, the taxpayer can apply that same ALP for the next **two consecutive years**.
 - This requires submitting **Form 46** after the third tax year but before **June 30**, accompanied by an accountant's certificate in **Form 47**.
- **Revised Form 48:** Form 48 replaces the old Form 3CEB for reporting international and specified domestic transactions (SDTs). It requires significantly more granular data, including:
 - Specific **Transaction IDs** across 16 categories.
 - Detailed notes on ALP computation methods and quantitative impacts of economic adjustments.

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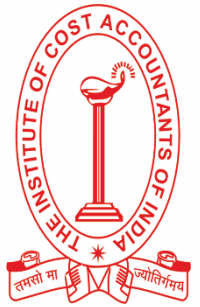


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 - Specific **Transaction IDs** across 16 categories.
 - Detailed notes on ALP computation methods and quantitative impacts of economic adjustments.
- **Consolidated AE Definition:** Section 162 now integrates the definition of "Associated Enterprise" (AE) into a single provision, simplifying the mapping of related parties.
- **Clarified Tolerance Range:** The **±3% tolerance range** (or ±1% for wholesale) now explicitly applies even when only **one price** is determined as the ALP, removing previous legal ambiguities

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Updated Documentation Standards

While the assessment regime is streamlined, annual documentation burdens remain largely unchanged.

- **Local File:** Must be maintained contemporaneously and furnished within **30 days** of a request.
- **Master File:** Required for entities in groups with consolidated revenue exceeding **₹500 crore**.
- **Country-by-Country Reporting (CbCR):** Filed by groups exceeding **₹6400 crore** (approx. €750 million) in consolidated revenue.

Penalties & Enforcement

The new Act "beefs up" penalties to ensure strict adherence to the restructured rules:

- **Under-reporting:** A penalty of **50%** of the tax payable on the adjusted amount. This rises to **200%** for willful misreporting.
- **Documentation Failure:** Failure to maintain or furnish documents (Section 171) attracts a penalty of **2% of the total transaction value**.
- **Secondary Adjustments:** If excess profit is not repatriated within the prescribed time, it is treated as a "deemed distributed" loan, subject to additional tax of **33.99%** plus interest

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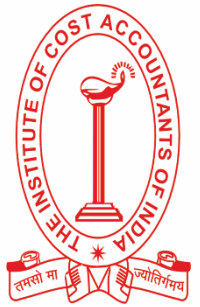
Fast-Tracked Certainty Mechanisms

Fast-Track APAs: Unilateral Advance Pricing Agreements (APAs) for IT services are now targeted for conclusion within **two years**.

Expanded Safe Harbours: The threshold for IT services to use "Safe Harbour" (deemed ALP) has been increased from ₹300 crore to **₹2000 crore**, with a common safe harbour margin of **15.5%**

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Advance Pricing Agreement

An **Advance Pricing Agreement (APA)** is essentially a pre-agreed “rulebook” for how transfer prices will be set and tested for specific related-party transactions over a number of years, reached between a taxpayer and one or more tax authorities. It is a dispute-prevention tool: instead of fighting about transfer pricing (TP) in audits year after year, the parties agree in advance on the method, margins and critical assumptions that will apply.

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What is an APA in transfer pricing?

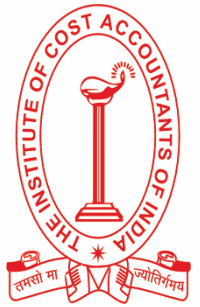
In the Indian 2025 Act, **section 168** empowers the Central Board of Direct Taxes (CBDT), with Government approval, to enter into an APA with any person to determine the **arm's length price (ALP)** or the manner of determining ALP in relation to an international transaction or specified domestic transaction

Key elements:

- It is a **binding agreement** between the taxpayer and the tax administration (and possibly other jurisdictions' administrations) that sets out:
 - The **covered transactions** (e.g., contract R&D services, distribution, financing).
 - The **transfer pricing method(s)** to be used (TNMM, CUP, Profit Split, etc.).
 - The **critical assumptions** (business model, functions/risks, economic conditions).
 - The **target range or margin** and how it will be tested each year
- Once signed, the APA **overrides the normal TP provisions** (sections 165 and 166) for the covered transactions/years – the ALP “must” be determined in accordance with the APA

APAs are usually **forward-looking** (e.g., five future tax years) and in India can include **rollback** to earlier years (up to four prior years), subject to conditions





Types of APAs

Advance Pricing Agreements (APAs) are classified based on the number of tax authorities involved—**unilateral**, **bilateral**, and **multilateral**.

A **unilateral APA** is an agreement between the taxpayer and a single tax authority, such as the India tax authority, and is generally used where the taxpayer seeks certainty in one jurisdiction, while managing foreign tax risks separately. It is procedurally simpler and faster since it does not involve treaty-based negotiations, but it does not eliminate the risk of double taxation because foreign tax authorities are not bound by the agreement.

A **bilateral APA (BAPA)** involves the taxpayer, India, and one foreign tax authority, with negotiations conducted between the respective Competent Authorities under the Mutual Agreement Procedure (MAP) article of the relevant tax treaty. It is typically preferred for significant cross-border transactions between two countries where there is a high risk of double taxation, as it provides consistency of treatment in both jurisdictions, though it is more complex and time-consuming.

A **multilateral APA (MAPA)** extends this framework to include the taxpayer, India, and two or more foreign tax authorities, making it suitable for complex multinational structures involving integrated operations, intangibles, or global value chains spread across several jurisdictions. While it offers the highest level of global tax certainty, it is also the most resource-intensive and is generally pursued by large multinational enterprises with significant international exposure.

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Key benefits of an APA for taxpayers

1. Advance certainty on transfer pricing

- ALP and methodology are agreed upfront, so the taxpayer knows **how profits will be taxed** in future years for covered transactions

2. Reduced risk of audits and disputes

- For APA-covered items, the TPO and AO are generally **bound by the APA** and do not re-litigate the pricing, except where the APA is cancelled or critical assumptions fail

3. Mitigation of double taxation (especially in BAPA/MAPA)

- Bilateral and multilateral APAs align treatment across jurisdictions so that profit taxed in one is not re-taxed in another, consistent with treaty Article 9 and MAP principles

4. Better planning and budgeting

- Predictable effective tax rates and margins help in pricing, investment decisions and long-term business planning.

5. Reduced compliance cost over time

- While the **up-front** documentation burden is heavy, future years see **simplified TP compliance** for covered transactions because the methodology and benchmark are already agreed ^[i]

6. Improved relationship with tax authorities

- APAs are cooperative, not adversarial – often leading to **more constructive interactions** even outside the APA scope.

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Key benefits for tax authorities

1. Early, high-quality information

- APA applications (Form 51/54 and annexures) require detailed FAR analysis, financials, segmental data and industry insights, improving the authority's understanding of the taxpayer and sector ^[i]

2. Resource focus and efficiency

- APAs lock-in arrangements for multiple future years, freeing audit resources to focus on higher-risk taxpayers and non-APA areas

3. Reduced litigation and administrative load

- Fewer TP disputes, appeals and MAP cases, which is a major policy aim reflected in both Indian and OECD/UN guidance

4. Improved voluntary compliance

- Clear, predictable rules and cooperative engagement encourage **better self-assessment** by taxpayers, raising overall compliance levels.





Step-by-step overview of the APA process

The exact steps differ by jurisdiction, but the typical life-cycle is very similar worldwide. For India under the 2025 law and Rules 104, 106, 111, 113, 119, it looks like this:

Step 1 – Feasibility analysis and internal planning

Before formally approaching the authority, the taxpayer should:

1. Identify candidate transactions

- Typically, **recurring, material transactions**: captive services, toll manufacturing, distribution, IP licensing, financing, etc.

2. Evaluate benefits vs cost

- Consider the **quantum of risk**, history of disputes, likelihood of double taxation, and expected APA duration versus professional and internal costs.

3. Preliminary benchmarking / “dry run”

- Check whether a **stable, defensible method and margin** can be justified under OECD/UN guidelines and local rules (India: sections 161, 165; Rules 77–81) ^[i]

4. Decide type of APA

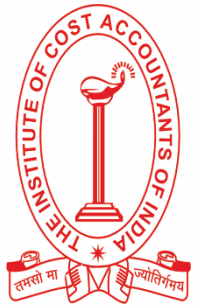
- Unilateral vs bilateral vs multilateral, based on **treaty coverage**, counterparty jurisdiction, and double-taxation risk

5. Engage advisors / internal team

- APAs require a multi-disciplinary approach (tax, finance, legal, business units, economist), echoing UN guidance on staffing TP audits

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Step 2 – Pre-filing meetings (optional but common)

Many regimes (including India) allow or encourage an **informal pre-filing meeting**:

- Taxpayer (and sometimes their advisors) meet APA officials to:
 - Outline the **business model and proposed coverage**.
 - Discuss **feasibility**, potential issues, and whether bilateral/multilateral engagement is appropriate.
 - Get guidance on **scope, years, data expectations and timelines** ^[i]

This is not binding but helps shape a realistic application and may save both sides time.

Step 3 – Formal APA application

In India, the taxpayer files **Form 51** (for a fresh APA) or **Form 54** (for renewal)

Key points:

1. **Timing** : Must be filed **before the first tax year** sought to be covered, or before undertaking the covered transaction (subject to specific rules)
2. **Contents & annexures** The forms require detailed information, including: **History and background** , **Multinational group structure and transaction flows**, **Functional analysis**, **Business strategies and projections**, **Consolidated and unconsolidated financial statements** , **Industry and market analysis**, **Detailed TP methodology** and **Copies of all relevant inter-company agreements**.
3. **Coverage period** : Typically **five forward years**, with possible **rollback** to four preceding years; renewal can extend coverage (fresh 5 + 4 under Form 54, subject to rules)

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Step 4 – Review, clarification and fact-finding

The APA team undertakes **detailed due diligence**, similar in depth to a TP audit but forward-looking:

1. **Desk review of the application and annexures**
 - Validate factual assertions, FAR analysis, comparables, and projections.
2. **Information requests and meetings**
 - Issue **supplementary questionnaires**, require additional data or segmental accounts, and hold **technical meetings** with the taxpayer's team, often including site visits
3. **Internal analysis and economic modelling**
 - APA economists model margins and ranges; legal officers review treaty and domestic-law interplay; risk-assessment teams evaluate the robustness of critical assumptions
4. **For bilateral/multilateral APAs, the Indian Competent Authority:**
 - Coordinates positions with the **foreign Competent Authority (CA)** under treaty Article 25 (MAP article), using the application and supporting material as input

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Step 5 – Negotiation of terms

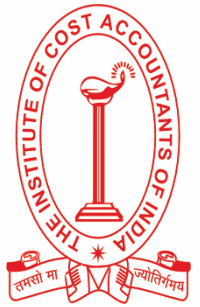
Based on the fact-finding, the APA authorities and, where relevant, foreign CAs negotiate:

1. **Scope and covered years**
2. **Transfer pricing method(s) and profit level indicator (PLI)**
3. **Arm's length range or target margin**
4. **Critical assumptions**, which might relate to:
 - Business model staying broadly intact.
 - Volume levels, market conditions, cost structures.
 - No extraordinary events (e.g., significant acquisitions, cessation of major functions).

These negotiations may involve **multiple rounds** of discussion with the taxpayer and, for bilateral/multilateral cases, separate **competent-authority-to-competent-authority meetings** (often without the taxpayer in the room)

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Step 6 – Drafting and conclusion of the APA

Once there is agreement in principle:

1. Draft APA text

- The agreement sets out: Covered transactions and years, Agreed method and **PLI/range**, Critical assumptions and their monitoring, Procedures for **compensating adjustments**, if actual results fall outside agreed range and Terms for **rollback** years, if granted.

2. Taxpayer review and acceptance

- Taxpayer is given the draft APA and must formally **accept the terms** (in India, usually within a defined period such as one month from the end of the month in which the draft is shared, similar in spirit to the acceptance mechanism detailed for MAP/APA in treaties and rules)

3. Formal signing

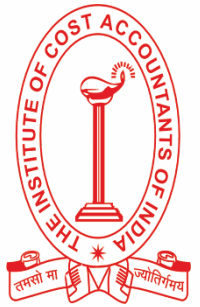
- The APA is signed by authorised officials (**Board/Competent Authority**) and the taxpayer; in bilateral/multilateral APAs, coordinated agreements are concluded by each jurisdiction's CA

4. Effect on existing/past assessments

- In India, if covered years are already under assessment, section 169 allows a **modified return** to be filed within three months of the month in which the APA is entered; the AO must then **recompute income in accordance with the APA** for those years

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Step 7 – Annual compliance and monitoring

APAs are not “set-and-forget”; they require ongoing compliance:

Annual Compliance Report (ACR) – Form 52

- Taxpayer must file **Form 52** for each APA year, with full computations showing that actual results align with the agreed methodology and margins
- **Deadline** – within **30 days of the return due date** for that year, or within **90 days of entering into the APA**, whichever is later

Compliance audit by TPO

- The TPO reviews the ACR and may request additional documents; a compliance-audit report is provided to higher authorities (DGIT and CBDT where needed) typically within **six months** of receiving the ACR (mirroring old Rule 10P timelines)

Monitoring critical assumptions

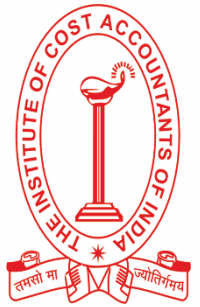
- If circumstances change materially (e.g., restructuring, change in functional profile, extraordinary losses), the APA terms may need **revision**; failure to notify can trigger **cancellation**.

Cancellation / revision

- Rules (successors to old Rules 10P, 10R) specify grounds for cancellation, such as:
 - Failure to file ACR on time.
 - Providing materially inaccurate information.
 - Breach of critical assumptions.

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Why is Form 52 important and what are the changes in the current Form compared to the old Form 3CEF?

The form 52 is used to confirm that the terms and conditions agreed upon in the Advance Pricing Agreement have been complied with by the taxpayer during the relevant financial year.

The erstwhile Form 3CEF had a set of very general queries regarding compliance with the terms set forth in the Agreement by the Applicant. For example, agreed profit level indicator (PLI) vs actual achievement, business model agreed upon vs actual business model adopted.

Further, any variance from the critical assumptions agreed upon in the APA was required to be indicated in general terms by the Applicant, which could create avoidable confusion regarding compliance at the time of audit.

In order to ensure clarity in compliance, tabular computation of adjustment in case of variation for various profit level indicators utilised in APAs has been introduced. Cases where multiple transactions could be aggregated with one PLI have also been accounted for.

Further, specific Critical Assumptions laid down in APAs with regard to FAR of the applicant, Associated Enterprises (AEs), Invoicing and Credit terms and other compliances mandated in the APA have also been explicitly outlined in the Annexure to the Form. This shall ensure clarity and ease in compliance requirements for the Applicant.

Further, CMAs are also authorized to certify critical assumptions in Form -52.

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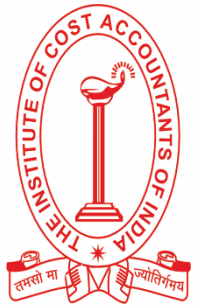
Step 8 – Renewal

Near the end of the APA term, taxpayers can seek **renewal** via **Form 54**, which is a lighter-touch application relying on existing APA data, updated for changes and recent years' performance

- Renewal typically repeats key steps (review, negotiation, updated benchmarking), but with **reduced documentation repetition**, especially if facts haven't changed materially

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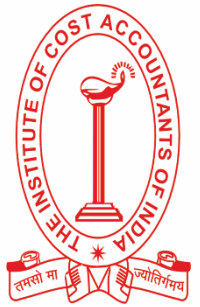




“Safe Harbour” in Indian transfer pricing

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Safe harbor : Statutory idea

- Section 167 (corresponding to section 92CB of the 1961 Act) empowers the Board (CBDT) to make **safe harbour rules** for:
 - determination of arm's length price (ALP) for international transactions (sections 165–166), and
 - determination of income deemed to accrue in India under section 9(2).
- “Safe harbour” is defined as **circumstances in which the income-tax authorities shall accept the transfer price declared by the assessee** as the ALP (or accept the deemed income under section 9(2)).

In practice, this converts the usual *comparables-based* ALP analysis into a **rule-based margin/price** for defined low-risk transactions. If you meet the conditions and use the prescribed margin/rate, the tax office accepts it without a detailed benchmarking study.

This is an **optional regime**: you elect into safe harbour; if you do not, the regular TP rules apply (TNMM, CUP, etc.).

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“Eligible assessee” – the type of entity that can use safe harbour

Draft **Rule 87** defines the broad classes of **eligible assessee** for international transactions (subject to a valid option under Rule 90):

1. Service-providers with “insignificant risk” to foreign AEs:

- Information technology services: Software development services, IT-enabled services (ITeS), Knowledge process outsourcing (KPO)
- Contract R&D services related to software (but only where R&D risk is insignificant).
- Contract R&D services for generic pharmaceutical drugs (with insignificant risk).

2. Manufacturing entities:

- Manufacture and export of core auto components ($\geq 90\%$ of turnover from sales to original equipment manufacturers (OEMs) in the relevant year).
- Manufacture and export of non-core auto components (same OEM 90% test).

3. Financing & support:

- Advance of intra-group loans (except where the lender itself is a bank/financial company or where it is just a line of credit).^[i]
- Provision of explicit corporate guarantees to wholly-owned non-resident subsidiaries (WOS).
- Receipt of low value-adding intra-group services (routine back-office/support type, subject to specific exclusions described later).^[ii]

4. Infrastructure / technology:

Provision of data centre services to associated enterprises

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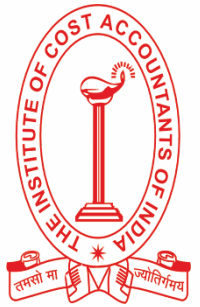
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Key transfer pricing challenges from the digital economy

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Nexus and “scale without mass”

Digital business models (platforms, cloud, ad-tech, content streaming, app stores, SaaS) can generate substantial revenue from a market with little or no physical presence. This undermines traditional permanent establishment (PE) and source-based concepts that were built around a physical “fixed place of business”.

India’s responses include:

- **Significant Economic Presence (SEP):** Section 9(1)(i) Explanation 2A (under the 1961 Act; carried forward conceptually in Income Tax 2025) creates nexus where: Revenue from India-related transactions exceeds a monetary threshold, or There is systematic and continuous soliciting of business or interaction with users in India above a user-threshold.

Rule 13 under the 2025 Act proposes thresholds of INR 2 crore of consideration and 3 lakh users.

- **Equalisation Levy (EL):** A separate levy on specified digital advertising (from 2016) and on e-commerce operators (from 2020), targeting non-residents with no Indian PE.

The Tribunal has, however, read this narrowly where the customers and users are outside India, even if payments flow through an Indian intermediary.

Broader global debates consider “**virtual PE**” and a broader SEP-style nexus, but to date most concrete rule-making is happening through the **OECD Pillar One** architecture (see below).

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Data-driven intangibles and DEMPE functions

Digital businesses rely heavily on intangibles: algorithms, software, brands, customer data, platform network effects, and user-generated content. Traditional arm's length analysis based on where legal IP is owned and where contractual risks sit often understates contributions from:

- Market-facing / user-facing functions
- Local marketing and customer acquisition
- Data collection, curation, and exploitation

The OECD Transfer Pricing Guidelines (TPG) respond via a stronger focus on **DEMPE functions** (Development, Enhancement, Maintenance, Protection and Exploitation of intangibles) and on carefully delineating actual transactions, including which entities control economically significant risks and have financial capacity to bear them.

Indian litigation has reflected this shift, particularly in **marketing intangibles / AMP** cases (e.g. Sony Ericsson and connected cases), where courts insist on rigorous functional and comparability analysis and reject simple “bright-line” rules.

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Characterisation of digital services

Key recurring questions:

- Are payments **business profits, royalties, fees for technical services**, or subject to **Equalisation Levy**?
- Do servers, co-located equipment, or human support functions in India create a **PE** for foreign digital operators?

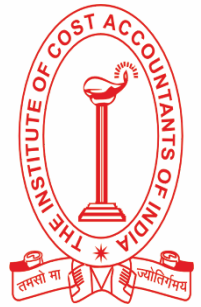
Cases like **MasterCard Asia Pacific (AAR)** show authorities increasingly treating local servers, processing infrastructure or network nodes as creating a fixed-place or service **PE** and re-characterising a portion of fees as royalty or business income attributable to India, even where an Indian affiliate is already remunerated on an arm's length basis.

At the same time, decisions such as **e-Funds** and **Adobe** emphasise that outsourcing to an Indian captive, by itself, does not automatically create a **PE** and that once the Indian entity is remunerated at arm's length, further attribution may not be warranted absent strong contrary evidence.

This remains a live controversy, especially for platform, fintech and payment-network models.

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BEPS-related initiatives and implications (including Pillar One & Pillar Two)

BEPS 1.0 – Actions 8–10 and Action 13

Globally, the first BEPS package reshaped transfer pricing in three main ways:

Substance over form in TP

Actions 8–10 modified OECD guidance to:

- Emphasise detailed delineation of actual transactions, including risk control and DEMPE for intangibles.
- Encourage use of **profit split** where multiple entities make unique and valuable contributions (common in integrated digital models).

Three-tier documentation (Action 13)

- **Master file, Local file, and CbC report** for large MNEs. India fully implemented this under section 92D and section 286 of the 1961 Act and Rules 10DA/10DB, with penalties for non-compliance.

Exchange of CbC reports and MAP strengthening

India is party to the **Multilateral Competent Authority Agreement (MCAA)** and a separate CbC exchange agreement with the US, allowing automatic exchange of CbC reports and committing to **MAP** best practices.

Implications for MNEs

- Higher documentation and transparency burden.
- Increased scrutiny of intangible pricing, risk allocations, and intra-group services.
- Greater cross-jurisdictional alignment in audits, but also more coordinated risk-based targeting using CbC and master-file data.

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BEPS 2.0 – Pillar One (reallocation of taxing rights)

Pillar One seeks to **reallocate a share of residual profits** of the largest and most profitable MNEs to market jurisdictions, particularly relevant for highly digitalised and consumer-facing businesses.

Key features (as per latest public designs):

- **Amount A:**
 - **Scope:** MNEs with global turnover above EUR 20 billion and profitability above 10%.
 - **Tax base:** a portion (e.g. 25%) of profit above the 10% margin is allocated to market jurisdictions using a formula, not the arm's length principle.
 - **Nexus:** revenue-based thresholds (e.g. EUR 1 million per jurisdiction, with a lower EUR 250k threshold for smaller markets).
- **Amount B:** Standardised arm's length remuneration for “baseline” marketing and distribution functions, intended to reduce routine TP disputes for distributors.
- **DST / EL rollback:** Participating countries are expected to remove unilateral digital services taxes and equivalent measures (such as India's equalisation levy) once the Pillar One multilateral convention is in force and operational, though India's exact sequencing remains undecided.

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India's position & practical impact

- India has been an active proponent of market-jurisdiction taxing rights and endorsed the two-pillar solution in 2023; negotiations on Amount A and B are ongoing.
- Pillar One will overlay, rather than replace, traditional TP rules; MNEs may face a dual regime: formulary reallocation (Amount A) plus regular TP for routine profits and non-in-scope groups.

For many Indian subsidiaries of global tech/consumer MNEs, the main change will be **foreign-parent level profit reallocation**, while local TP for Indian entities will still run under Chapter X/arm's length.

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BEPS 2.0 – Pillar Two (15% global minimum tax)

Pillar Two establishes a 15% **global minimum effective tax rate** for large MNE groups (revenue $\geq$ EUR 750m) under the **Global Anti-Base Erosion (GloBE) Rules**.

Core components:

- **Qualified Domestic Minimum Top-up Tax (QDMTT)** – allows a jurisdiction to collect top-up tax locally where its ETR on in-scope entities is below 15%.
- **Income Inclusion Rule (IIR)** – parent jurisdiction collects top-up tax on low-taxed subsidiaries.
- **Undertaxed Profits Rule (UTPR)** – back-up rule allowing other jurisdictions to collect top-up if the parent jurisdiction does not.
- **Subject-to-Tax Rule (STTR)** – treaty-based rule allowing developing countries to impose a floor rate on certain intragroup payments (interest, royalties, some services).

GloBE income is calculated starting from **financial accounting net income**, with specific adjustments; intra-group transactions must be recorded on an **arm's length basis** under Article 3.2, linking Pillar Two to transfer pricing outcomes.

Safe harbours (based on CbC data and simplified calculations) can deem top-up tax to be zero for certain low-risk jurisdictions, at least during a transition period.

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India-specific status and implications

- Several jurisdictions have already enacted GloBE-style rules effective 2024; India has signalled support and commitment to a 15% minimum, but has not yet legislated its detailed Pillar Two regime (i.e., QDMTT/IIR/UTPR design is pending).
- Given India's headline corporate tax rates (typically $\geq 22-25\%$), only entities benefiting from **preferential regimes** (e.g., certain SEZ or IFSC incentives) are likely to be in low-ETR territory under GloBE; however, group-wide computations and timing differences can still produce top-up obligations.

Key interaction with TP

- TP adjustments can directly affect GloBE ETRs; late or post-closing TP adjustments may create **mismatches** between tax and financial accounting numbers, with potential double-taxation if not adequately relieved.
- MNEs will need closer coordination between TP, tax accounting, and global minimum tax modelling.



Recent and significant Indian transfer pricing developments

India is transitioning from the 1961 Act to **Income Tax 2025**, which carries forward and refines the TP regime:

- **Core TP rules remain:** Section 161 mandates that income, expenses, interest, and cost-sharing amounts arising from **international transactions and specified domestic transactions** be computed having regard to the **arm's length price (ALP)**.
- **Associated enterprises and scope:** Section 162 has a detailed AE definition (shareholding $\geq 26\%$, debt $\geq 51\%$ of assets, guarantees $\geq 10\%$ of borrowings, IP dependence, supply/purchase dependence, and common control tests).
- **International transaction / intangibles:** Section 163(1) broadly defines international transaction to include tangible and intangible transfers, financing, services, restructurings, and cost-sharing; deemed international transactions are covered where an AE effectively sets terms even if the counterparty is independent. Intangibles are extensively defined, including marketing, technology, data, customer, contractual and goodwill-type intangibles.
- **Methods:** Section 165 continues the familiar methods—CUP, RPM, Cost Plus, Profit Split, TNMM, and an “other method” prescribed by rules.
Draft Rule 78 describes the “other method” as any method that uses prices from comparable uncontrolled transactions in the same or similar circumstances, aligning with OECD guidance.
- **Specified domestic transactions (SDT):** Section 164 continues TP for certain domestic related-party and profit-linked incentive situations once the aggregate exceeds INR 20 crore.

In substance, the new Act consolidates and modernises existing 1961-Act provisions rather than changing core principles.



Documentation and CbC / Master File

Under the 1961 Act (still applicable until 31 March 2026):

- **Section 92D / Rules 10D & 10DA:** Local file and master file requirements with 8-year record retention and monetary thresholds (e.g. INR 500 crore consolidated revenue threshold for master file; INR 50 crore/10 crore transaction thresholds).
- **Section 286 / Rules 10DB:** CbC reporting for groups with global revenue $\geq$ INR 5,500 crore (threshold aligned to OECD EUR 750m).

Under Income Tax 2025:

- **Section 171 & 172:** Carry forward similar obligations:
 - Assessee entering into international / specified domestic transactions must maintain specified information and furnish it on request within short timelines.
 - Separate obligations for **constituent entities of international groups** and accountant's report filing.
- **Rule 124 (draft):** Implements CbC-style reporting for international groups (Form 56/58-60), with:
 - Threshold of INR 6,400 crore consolidated revenue,
 - 12-month reporting deadline (6 months in system-failure situations), and
 - 9-year documentation retention.

These provisions broadly align with OECD Action 13 and extend India's risk-assessment toolkit.



Procedural / dispute-resolution and enforcement trends

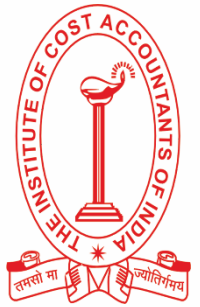
(a) Transfer Pricing Officer (TPO) references and time-lines

Recent Finance Acts have focused on **clarifying timelines and extending time-limits** to reduce procedural challenges:

- **Finance (No.2) Act 2024:**
 - Explicitly brings **specified domestic transactions** within the scope of TPO references under section 92CA (1961 Act), effective AY 2025-26, and ties search block-assessment timelines to TPO references.
- **Finance Act 2025 & 2026 (1961 Act / 2025 Act):**
 - Insert section 92CA(3AA) (1961 Act) and corresponding section 166 provisions in the 2025 Act to clarify computation of the “60-day” window for TPO orders and inter-link it with assessment limitation periods.
 - Extend overall assessment time-limit by 12 months where a TPO reference is made (section 286 of the 2025 Act).

Courts have been grappling with how **DRP** (section 144C) timelines interact with section 153 limits; a recent Supreme Court split decision (Shelf Drilling) shows this remains contentious, prompting legislative clarification in the 2026 package.





Practical takeaways for multinationals

1. Digital and data-driven groups should reassess:

- PE and SEP exposure in India (servers, data centres, personnel, marketing support).
- Characterisation of payments (services vs royalty vs EL vs business profits).
- DEMPE and user-market contributions for intangibles.

2. BEPS 2.0 readiness:

- Model Pillar Two impacts, especially for low-tax or incentivised entities in the group, and ensure TP positions are consistent with GloBE calculations.
- Track Pillar One developments; for in-scope groups, expect additional formulary reallocation overlays on top of arm's length TP.

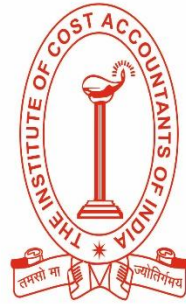
3. Indian TP compliance:

- Align documentation with the expanding definitions of **AE**, **international transaction**, and **intangibles** under the 2025 Act.
- Use APAs and safe harbours where possible to obtain certainty, especially for routine IT/ITES and distribution models.
- Prepare for more data-driven and multi-year audits, with CbC and master file information often used to select cases and frame questions (even though CbC alone cannot be the basis for an adjustment).^[i]

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Thank You



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